

Table 11.4 Comparison of Trading Characteristics: June 2012

Index	Avg Dollar Turnover*	Avg Daily Volume*	Avg Price	Avg Volatility	Avg Rho	Median Spread (cps)	Median Spread (bp)
SP500	202,511,240	5,666,180	\$54.28	30%	0.57	1.80	3.32
R2000	6,674,599	503,553	\$20.34	43%	0.39	10.01	49.16
Net Diff	195,836,641	5,162,627	\$33.93	−13%	0.18	−8.21	−45.84
Ratio	30.34	11.25	2.67	0.70	1.45	0.18	0.07

* = Stock level averages, e.g., the avg ADV for an SP500 stock was 5,666,180 shares per day in June 2012.

for these samples (as of June 2012). For example, the average daily trading volume for an SP500 stock is 5,666,180 shares per day, and the average daily trading volume for an R2000 stock is 503,553 shares per day. On average, SP500 stocks trade 11.25 times more daily share volume than R2000 stocks. The average daily dollar turnover value in these names is even more exaggerated. An SP500 stock trades \$202,511,240 per day and an R2000 stock trades only \$6,674,599 per day. This is more than 30 times more traded dollars per day per stock in SP500 names than in R2000 names. Additionally, R2000 stocks have higher volatility and larger spreads than SP500, thus also increasing trading costs.

What does this have to do with trading costs? Well everything. Trading costs are usually stated for order sizes or share quantities expressed in terms of % ADV. In these cases, when we compare the actual cost of trading across SP500 and R2000, the difference between the stock categories of stock is large but not outrageously large. And the difference is mostly due to volatility, spreads, company specific risk, and higher perceived information-based trading in small cap stocks compared to large cap stocks.

For example, the average cost of trading an order of 10% ADV via a VWAP strategy is 19.8 bp for large cap and 27.8 bp for small cap. Small cap stocks are 70% more expensive. Utilizing a POV = 20% strategy the cost is 37.4 bp for large cap and 55.7 bp for small cap. Small caps are 149% more expensive. Much of this difference, as mentioned, is explained by small cap volatility (43%) being higher than large cap volatility (30%), and small cap spreads (49 bp) being higher than large cap spreads (3.3 bp). [Figure 11.1](#) shows this difference in trading cost across various order sizes for large and small cap stocks for a POV = 20% strategy.